country. There are several advantages to locating production facilities in another country. For example, shipping costs can be reduced if the goods are manufactured in the country that is going to buy them. The cost of importing raw materials can also be avoided if factories are built in the country where they are produced. But the biggest saving is possibly on the workforce because it’s almost always much cheaper to run a factory in a poorer, developing country, where labor costs are lower.

> WHEN AMERICA SNEEZES, THE WHOLE WORLD CATCHES A COLD.
>
> ANON

Who profits?

Today, multinational corporations produce goods in many different countries, and sell their goods around the world. The value of the trade is often more than that of a whole country. The scope of the business may be global, they may employ people in various countries, but a US-based multinational, for example, is likely to have its management and shareholders based in the US, too, and that’s where the company’s profits will be directed.